

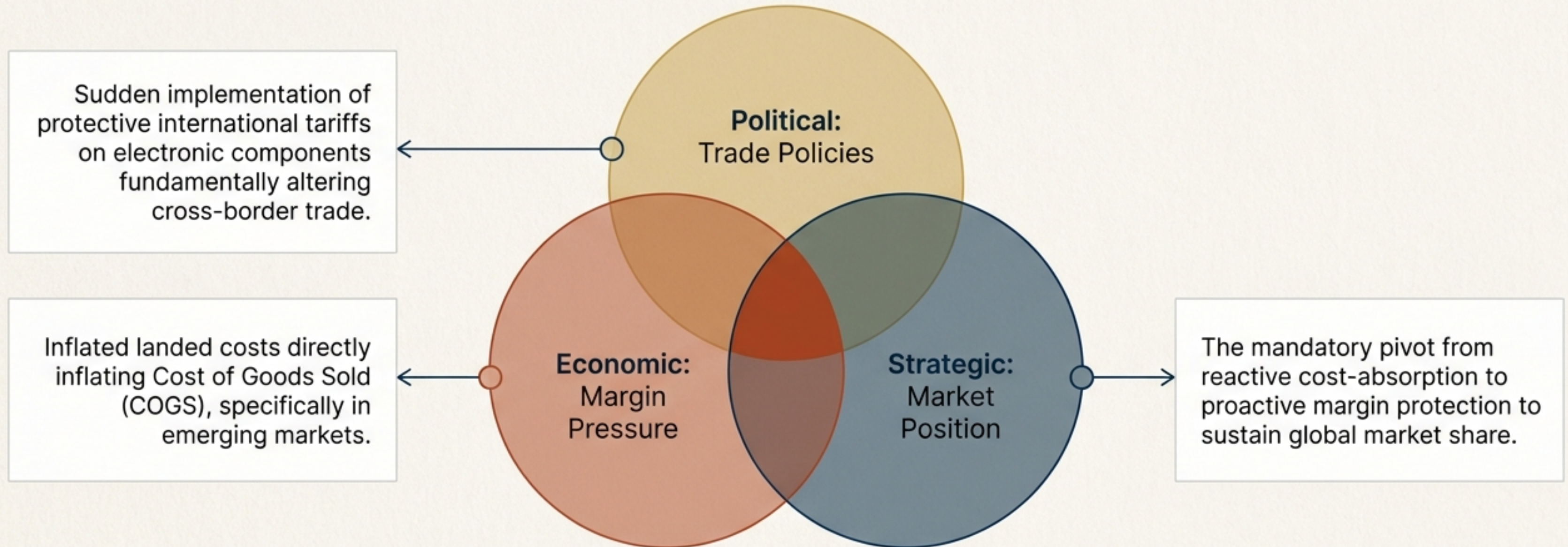
Protecting Global Margins Against Tariff Disruption

Executive Financial Analysis & Strategic Interventions

Data Source: SAP S/4HANA Live Sales Extracts
Audience: RedJKL Global Finance Leadership



The Macro-Environment Forces Squeezing Corporate Profitability



Isolated macroeconomic shifts have compounded into a unified threat to our core electronics portfolio.

Defining the Analytical Scope within SAP S/4HANA

Target Portfolio



Product Categories

Smartphones, Tablets, Laptops

Geographic Focus



Key Markets Analysed

India, China, Germany, USA

Financial Vectors



Data Focus

Revenue and Duty Interactions

The Analytical Mandate: We must identify precisely where and how new import tariffs are eroding profitability to deploy targeted, region-specific countermeasures.

The Diagnostic Metric Engine

Quantifying Tariff Impact



The Vulnerability of Static Raw Data Extraction

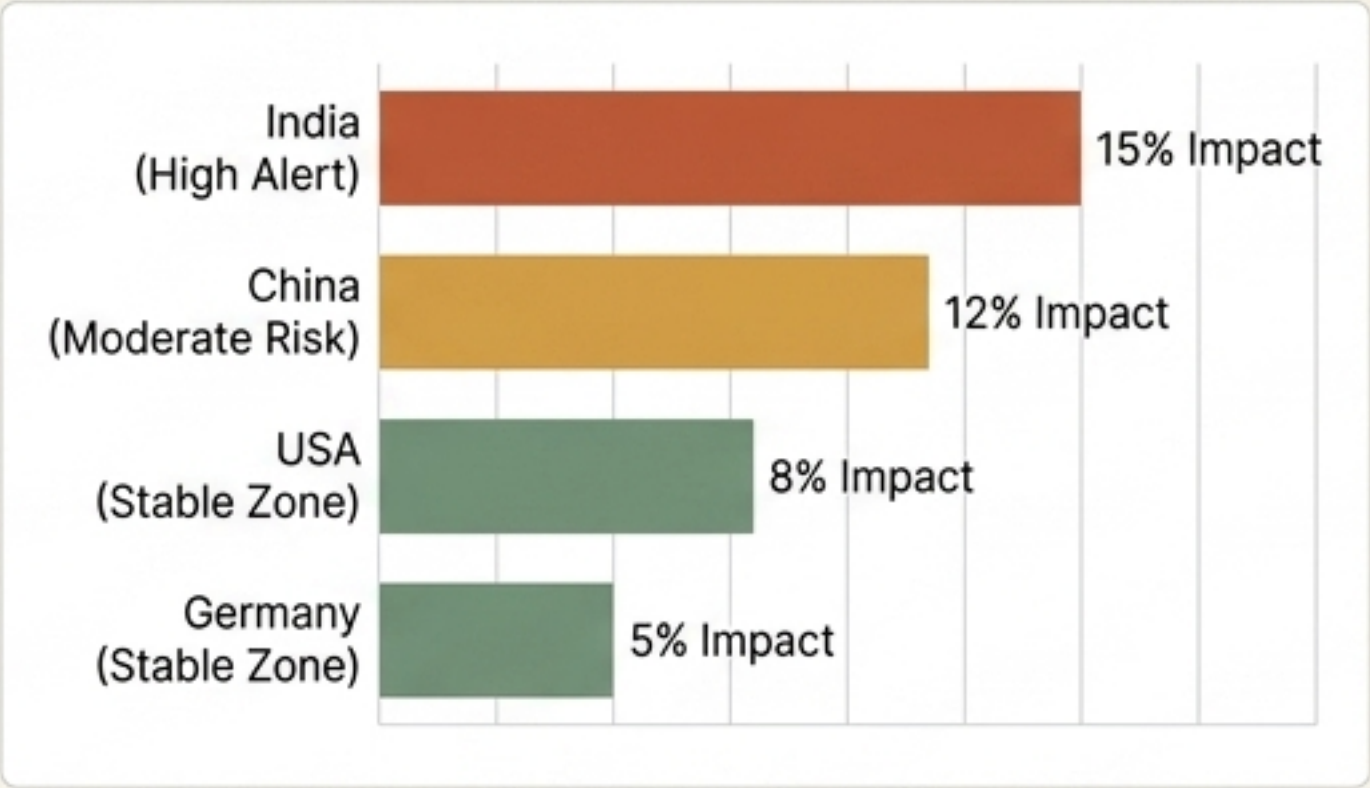
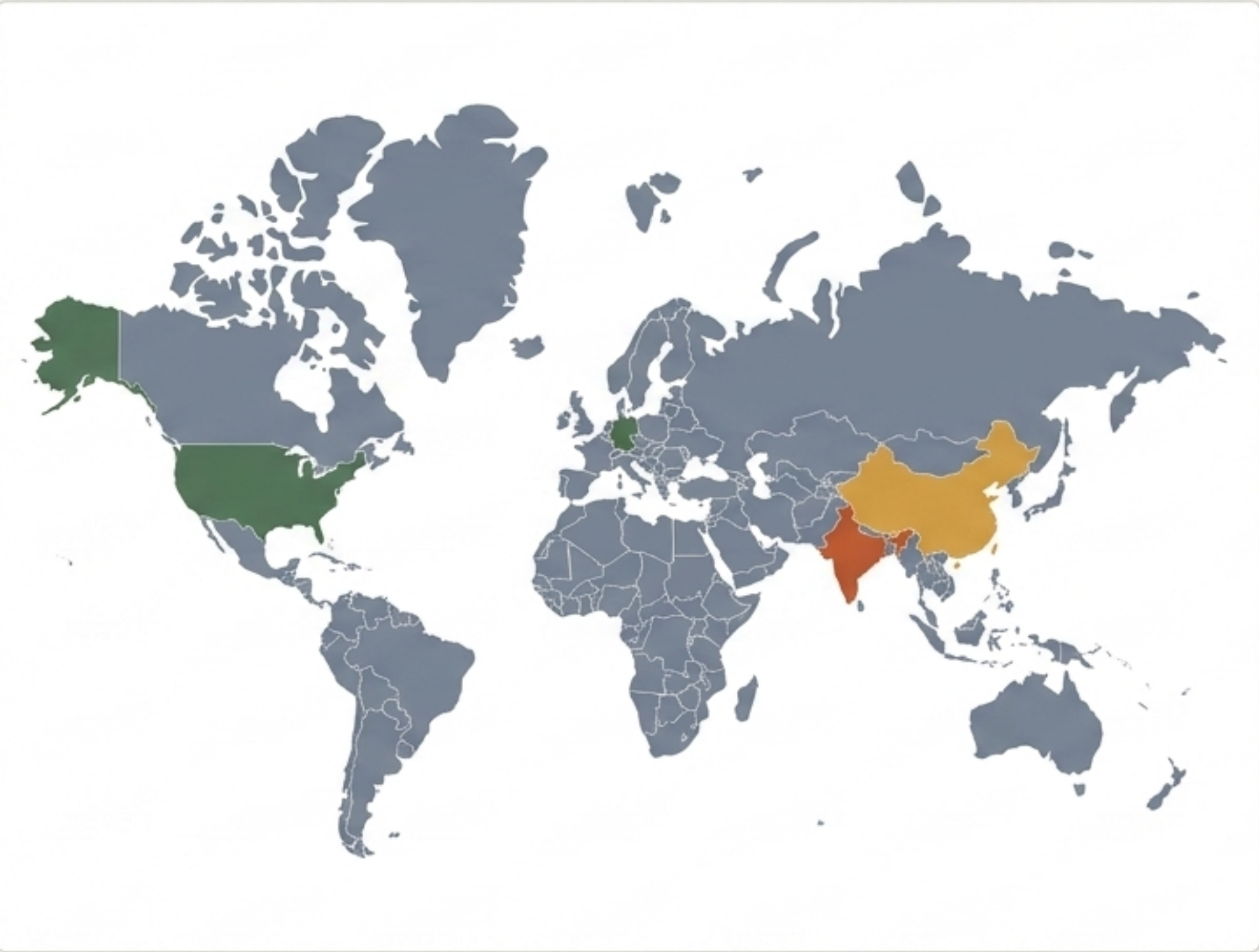
Latency Alert: Historical
End-of-Month Data Only

Country	Product	Net Price	Tariff %	Duty	Final Price
Germany	Laptop	€1000	10%	€100	€1100
Canada	Printer	€200	5%	€10	€210
France	Tablet	€500	12%	€60	€560
Japan	Monitor	€300	8%	€24	€324
Brazil	Router	€150	7%	€10.50	€160.50

Key Insight

Relying on manual consolidation of raw, disparate transaction logs introduces significant latency. Managing this volume volume via static extracts consumes **40+ analyst hours per month** and prevents real-time geopolitical risk response.

Geographic Tariff Density Reveals Severe APAC Exposure



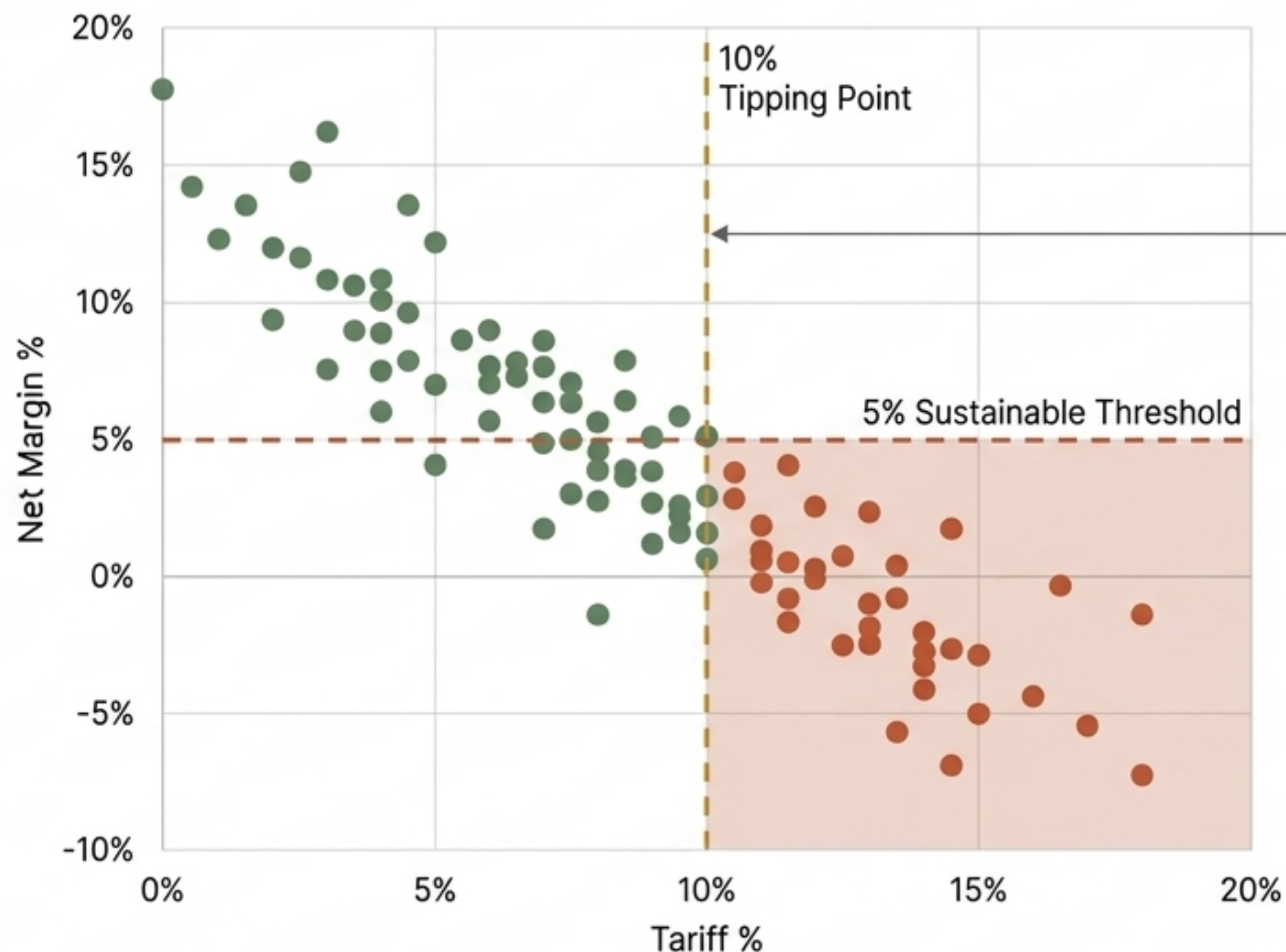
Analyst Insight

The geographic heat map reveals a highly concentrated burden in the APAC region. A 15% impact in India signifies that a massive portion of gross revenue is consumed by import duties before base operational costs are even factored in.

The 10% Tipping Point Destroys Sustainable Profitability

The Structural Threat:

A direct, negative correlation exists between tariff rates and net margins.



The Tipping Point: When tariff impact exceeds 10%, standard operational cost-absorption fails entirely, plunging net margins below our sustainable corporate threshold of 5%.

Conclusion: Markets falling into the bottom-right quadrant are actively destroying shareholder value.

Geopolitical Product Diagnostic Matrix

Resilient Profile
Germany / Laptops
Tariff Impact: 5%
Price Point: High base price
Margin Erosion: Minimal

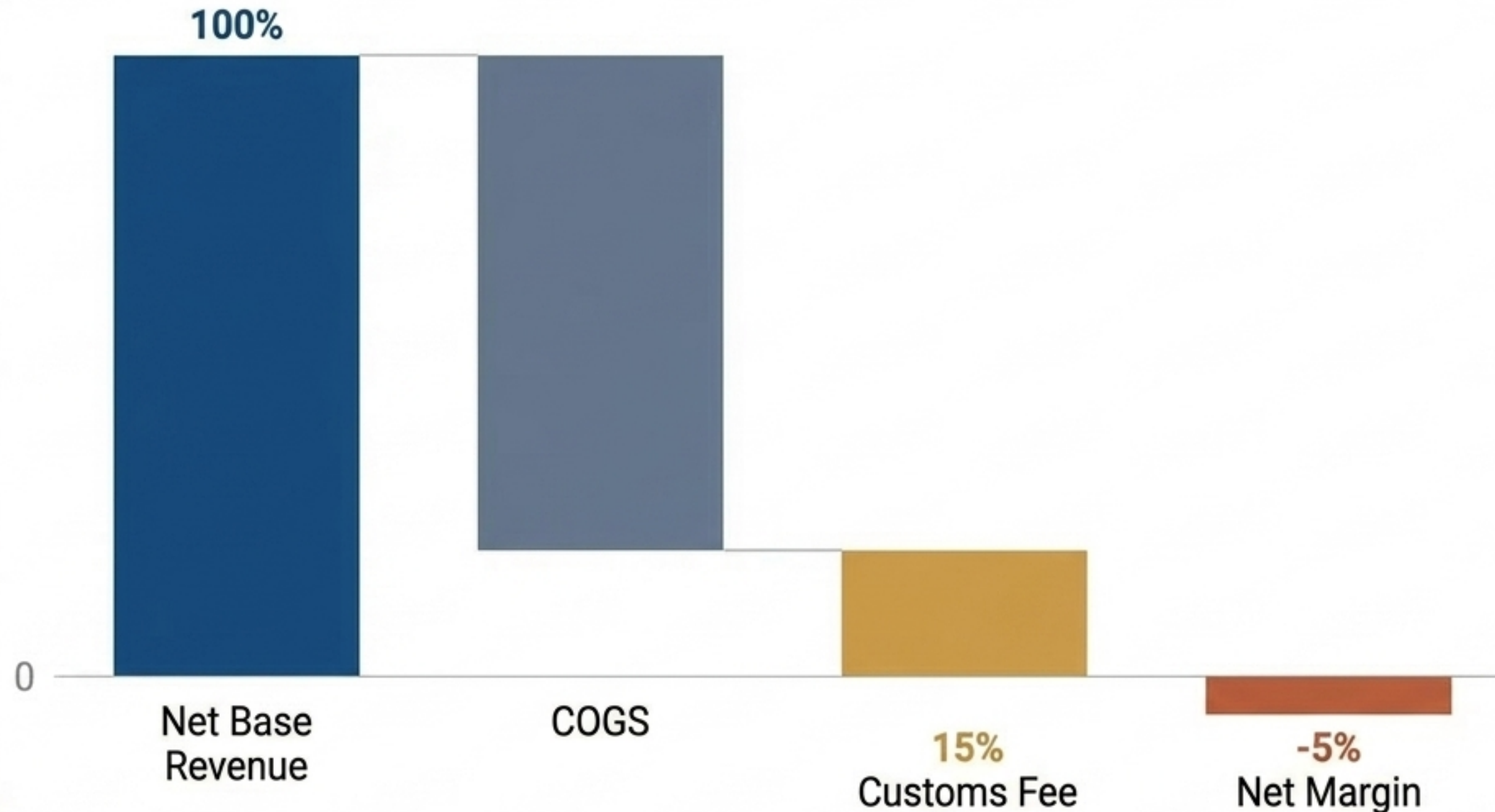
The high price point easily absorbs the modest tariff. Operations remain viable.

Critical Failure Profile
India / Smartphones
Tariff Impact: 15%
Price Point: Highly price-sensitive
Margin Erosion: 20% point drop

Thin base margins cannot absorb the tariff. Every smartphone sold is now a loss-making transaction.

Product resilience is dictated by the intersection of regional tariff hostility and inherent product price sensitivity.

Anatomy of a Margin Collapse: Smartphones in India



Margin erosion has reached **20%** overall, pushing the actual take-home profitability entirely into negative territory.

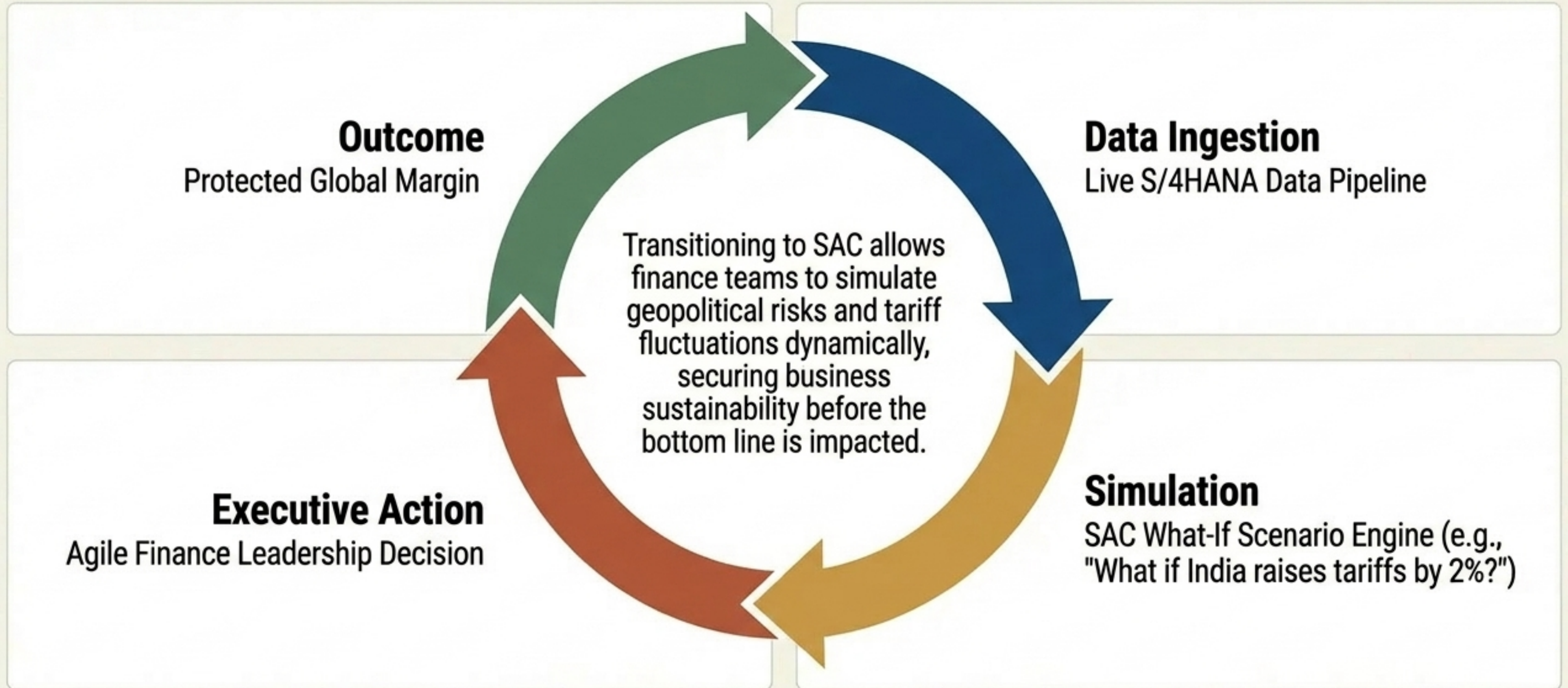
Immediate intervention is required to stop the bleeding.

Upgrading the Financial Intelligence Architecture

	Current State	Future State
Toolset	 Static Excel Extracts	 SAP Analytics Cloud (SAC)
Data Latency	 High (End-of-month reporting)	 Zero (Real-time S/4HANA integration)
Resource Drain	 40+ Analyst Hours/Month	 Automated Dashboards
Analytical Capability	 Reactive look-back	 Predictive 'What-If' Simulations

The intangible benefit of agile, data-driven decision-making far outweighs the upfront software investment, eliminating manual data consolidation risk.

The Predictive Simulation Loop



Immediate Strategic Action Plan

01

Deploy Dynamic Pricing

Week 1

- **Action:** Implement an immediate 10% "Tariff Surcharge" or localised price increase on Smartphones in the Indian market.
- **Objective:** Offset negative margins and return to a break-even state immediately.

02

Execute Supply Chain Re-Routing

Weeks 2-4

- **Action:** Initiate procurement review to source APAC components from allied trade zones.
- **Objective:** Structurally lower COGS by actively bypassing the 12%+ tariff zones.

03

Adopt SAC Predictive Planning

Q3 Goal

- **Action:** Full Go-live with the SAP Analytics Cloud Tariff Simulation Dashboard.
- **Objective:** Institutionalise real-time geopolitical risk management.